

LoanServe — Moratorium and Restructuring Policy

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Scope and Application

This policy governs relief given to a borrower who cannot service a loan on its original terms. It covers a moratorium, which pauses payment, and a restructuring, which changes the terms. It applies to every retail loan product and to a borrower whose difficulty is documented rather than merely asserted. Relief is not a right and is granted on an assessment of whether the borrower can recover.

Moratorium

A moratorium of up to six months may be granted on documented loss of employment or medical emergency. Interest continues to accrue during the moratorium period and is added to the outstanding principal. A moratorium may be availed only once during the life of a loan.

Restructuring

Restructuring may extend the original tenure by a maximum of 24 months. A restructured account is reported to the credit bureau with a restructured flag.

Application

A moratorium request must be submitted at least fifteen days before the next instalment due date.

Qualifying Circumstances

Loss of employment is evidenced by a letter from the employer and by the cessation of salary credits. A medical emergency is evidenced by hospital records and by the bills incurred. A business disruption is evidenced by financial statements and by bank statements for the affected period. A borrower who was already overdue by more than ninety days at the time of the request is considered for restructuring but not for a moratorium.

What Relief Costs the Borrower

Interest continues to run during a moratorium and is added to the outstanding, so the total repaid rises. The borrower is given, in writing and before accepting, the revised outstanding, the revised instalment and the revised tenure. A restructured account is reported to the credit bureau with a restructured flag, which other lenders can see. No fee is charged for considering or granting relief under this policy.

Assessment and Decision

A relief request is answered within fifteen working days of a complete submission. The decision is taken a level above the servicing branch and is recorded with its reason. Where relief is refused, the borrower is told why and what alternative is available. A borrower may ask for the decision to be reviewed once, and the review is carried out by an officer who did not take the original decision.

Definitions

'Moratorium' means an agreed pause in instalment payment during which interest keeps accruing on the outstanding. 'Restructuring' means a change to the agreed tenure or instalment made because the borrower cannot service the original terms.

Exceptions and Discretion

A second moratorium is not granted on the same loan in any circumstance. The extension of tenure beyond twenty four months is not granted. A moratorium is not granted on a gold loan, where the remedy is to reduce the outstanding or to renew the pledge. Relief granted in a natural disaster under a regulatory

dispensation is outside these limits and follows the dispensation.

Records and Evidence

The evidence of hardship, the assessment and the revised schedule accepted by the borrower are retained for eight years. The written disclosure of the revised terms and the borrower's acceptance are retained together. The record of any review of a refusal is retained with the original decision.

Related Policies

The Moratorium and Restructuring Policy should be read with: Top-Up Loan Rules.

Regulatory and Compliance Notes

This policy follows the directions on the resolution of stress in personal loans, including the requirement to classify and report a restructured account. Relief is not used to defer the recognition of a loan that has no prospect of recovery. The borrower is told plainly that a restructuring is visible to other lenders and may affect future borrowing.

Review and Governance

Owned by the Credit Restructuring desk and reviewed whenever the regulator issues fresh relief guidance.